

India Equity Strategy

Key ideas to deal with this vulnerability phase

- ◆ COVID-19 second wave is more precarious than the first one and may mean downside risks to FY22 growth expectations
- ◆ Last year's 'fall and sharp rally' construct should prevent a large fall but market is likely to be in a short-term vulnerability phase
- ◆ We prefer defensive underperformers of last year, disrupted long-term plays, COVID-19 beneficiaries to navigate this phase

Market has been fairly resilient despite massive second COVID-19 wave: India is amidst a very acute second COVID-19 wave, registering around 350-400K new cases every day and with active cases at c3.5m, doubling every 17 days at the current run rate. Some states have announced lockdowns, and the possibility of more widespread lockdowns can't be ruled out, which eventually may weigh on the recovery expectations for FY22. However, markets have hardly corrected (down just 5% from February when COVID-19 was seen to be diminishing), in part due to the experience of last year (sharp fall followed by a massive rally) and the fact that companies are better prepared. Global liquidity remains supportive, and perhaps any significant market fall may be viewed as a buying opportunity. However, given valuation levels, the worsening COVID-19 situation and its aftermath should not be underestimated and could see intermittent market sell-offs.

Market is in a short-term vulnerability phase: We believe the market could be very volatile depending on how the COVID-19 situation evolves but any deep correction is quite unlikely, making this phase a "vulnerability phase" within the overall bull market context (the Indian market has experienced around 6 such phases in the past 15 years, which are precipitated by key events but don't end up being sustained bearish phases), where the median fall of the market has been up to c15%, lasting around 3 months. While lockdowns can weigh on growth expectations in the near term, acceleration of vaccine drives and overall direction of active cases will still act as the key catalyst for the market.

Our approach to stock selection: In this phase our stock selection is focussed on four categories of players: **1) underperformers** of last year, which offer defensiveness and resilient earnings outlook; **2) disrupted** by COVID-19, at attractive valuation, offer long-term attractiveness and favourable risk reward; **3) COVID-19 beneficiaries** due to consumer preferences or changes in industry structures; **4) structural winners** which may see some correction (in part due to strong past performance) in this short-term vulnerability phase.

Analysts' key ideas within our four categories: 1) HUL, Bharti Airtel, Axis Bank can act as defensive and relative underperformers; 2) Indian Hotels and Prestige as disrupted plays with attractive risk reward. 3) Titan, ICICI Bank, Asian Paints, Bajaj Auto, Bajaj Finance as structural winners. And 4) IPCA, Cipla and Marico as beneficiaries post COVID-19. Our analysts rate all these stocks as Buys.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equity Strategy Indian Sub Continent

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HSBC Emerging Markets Seminar – EMflation: local or global?

5 May 2021 – 6 May 2021

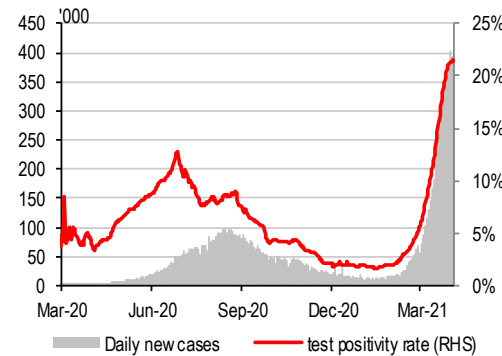
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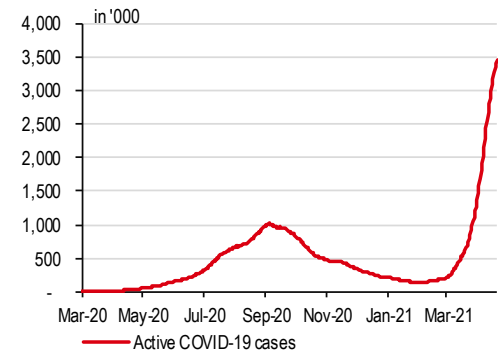
The second COVID-19 wave has dwarfed the first one

Daily COVID-19 cases are nearly 3.5 times last year's peak...



Source: MOHFW, CEIC, HSBC. As of 3 May 2021.

...with active cases inching towards 3.5 million



Source: MOHFW, CEIC, HSBC. As of 3 May 2021.

COVID-19 cases in India are rising sharply, clocking around 350k-400k new cases/day now – the highest rate of daily additions across the world.

Total active cases, which fell below 200k around mid-February, have jumped more than 15x in a matter of just 2-3 months, signifying the precarious situation on the ground. More worryingly, the test positivity rate is above 20%, compared to around 2% in early February 2021.

Huge rise in cases, high test positivity rates makes this second COVID-19 wave far more precarious than the first one

COVID-19 cases trend in key states – Top 10 states contribute 75% of active cases

	Active cases		New cases since March 2021		Peak daily cases		As %
	Count	% of total	Count	% of total	1st wave	2nd wave	
Maharashtra	659,013	19.1%	2,624,245	28.6%	24,886	68,631	276%
Karnataka	444,754	12.9%	695,573	7.6%	10,947	48,296	441%
Kerala	346,230	10.0%	608,640	6.6%	11,755	38,607	328%
UP	285,832	8.3%	738,986	8.0%	7,016	37,944	541%
Rajasthan	194,371	5.6%	331,067	3.6%	3,314	18,298	552%
AP	151,852	4.4%	274,195	3.0%	10,830	23,920	221%
Gujarat	147,499	4.3%	337,940	3.7%	1,607	14,605	909%
TN	123,258	3.6%	377,001	4.1%	6,993	20,952	300%
Chhattisgarh	120,977	3.5%	459,282	5.0%	3,896	17,397	447%
WB	119,961	3.5%	305,968	3.3%	4,157	17,515	421%
Bihar	107,668	3.1%	246,538	2.7%	4,157	15,853	381%
Haryana	104,722	3.0%	257,163	2.8%	3,104	13,947	449%
Delhi	89,592	2.6%	573,897	6.2%	8,593	28,395	330%
MP	85,750	2.5%	339,027	3.7%	5,515	13,601	247%
Telangana	79,520	2.3%	164,554	1.8%	3,083	10,122	328%
Others	386,134	11.2%	852,026	9.3%			
Top 10 states	2,593,747	75.2%	6,752,897	73.5%			
All India	3,447,133		9,186,102		97,894	401,993	410.6%

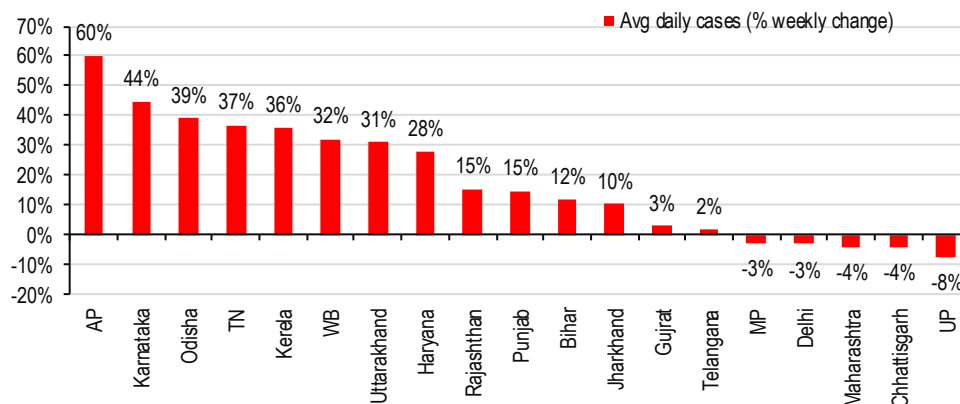
Source: MOHFW, CEIC, HSBC. As of 3 May 2021

What is the way forward?

While the unprecedented rise in cases is concerning, the case fatality rate so far during the second wave (0.7% vs overall 1.1%) is relatively low, and there are early signs of daily cases plateauing in a few states as well.

While fatality rates are low, the deluge of cases and absolute no. of daily deaths has stretched India's healthcare infrastructure

At least five states have seen a fall in daily cases



Source: MOHFW, CEIC. Above list is for states with at least 50k active cases. As of 3 May 2021.

Some states have announced lockdowns, and possibility of widespread lockdowns can't be ruled out

While this is indeed encouraging, the absolute rise in fatalities is quite steep. The higher number of cases has already started to put a strain on India's healthcare system, and presents a significant upside risk to the mortality rate.

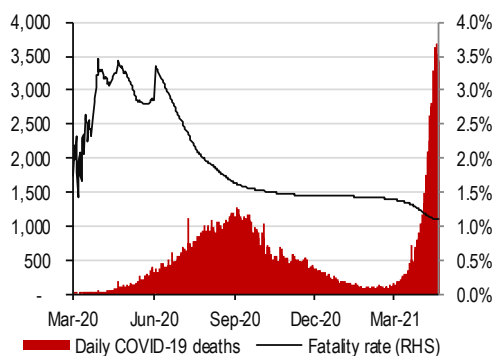
To this end, while a national level lockdown has been avoided so far, local lockdown measures are intensifying. Maharashtra and Delhi have extended their lockdowns until at least mid-May, and most major states have joined now with limited duration lockdowns, weekend curfews, etc.

Pick-up in pace of vaccination is important to minimise disruption but the downside risk to FY22 growth exists if situation doesn't come under control soon

Vaccination drive is underway, but this needs to accelerate: As of 4 May 2021, around 160 million vaccine doses had been administered (around 27.5 million people have received their second dose as well) – though the recent decline in daily vaccinations is a concern.

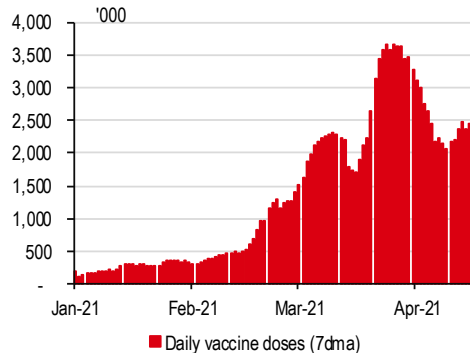
This should accelerate soon, led by: 1) the government opening vaccines for everyone above the age of 18 years from 1 May 2021; 2) Russia's Sputnik V vaccine receiving emergency use authorisation; and 3) the government deciding to fast-track approval for foreign vaccines which have already received approval from WHO, or regulators in the US, Europe, UK and Japan.

Absolute rise in case fatalities is a concern



Source: CEIC, MOHFW, HSBC. Data as of 3 May 2021.

Pick-up in vaccination pace essential to minimise disruption



Source: CEIC, MOHFW, HSBC. Data as of 3 May 2021.

Implications for India's GDP

Second COVID-19 wave has created downside risk to FY22 growth expectations

HSBC India economist Pranjul Bhandari believes that intensifying lockdowns are indeed negative for the macro economy. Pranjul and team have estimated that the new lockdown measures announced in Maharashtra and Delhi could alone cost the economy around c1.0% of the country's GVA in Q1FY22. With several states announcing similar restrictions recently, the growth cost could rise even further.

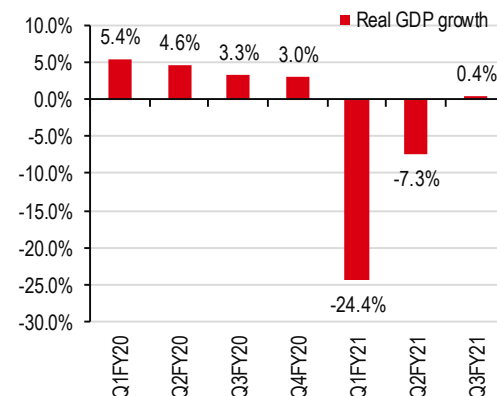
It is likely that reported y-o-y GDP growth in the quarter ending March will dip into negative territory. Furthermore, the q-o-q sequential momentum in the quarter ending June will likely come in negative. Still, led by favourable base effects, the y-o-y growth number will be a large positive (over 20% yoy versus -24.4% in the June quarter last year).

Not all may be lost though...

While the situation is indeed worrying, Pranjul also thinks that once the second wave subsides and a larger proportion of the population is vaccinated, pent-up services demand could push GDP growth back up. For now, she has retained her FY22 GDP forecast of 11.2% y-o-y, but sees intensifying lockdowns as a downside risk to her estimates. Please refer to her report entitled [India Economics Comment](#), Pranjul Bhandari, et.al., 14 April 2021.

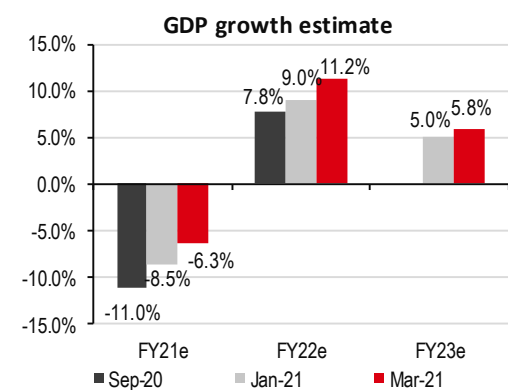
Nonetheless, once the second wave subsides and vaccination coverage improves, pent-up demand could push growth back up

A complete lockdown in 2020 pushed the economy into recession



Source: CEIC, HSBC

Second wave has added risk to the improving macro outlook



Source: HSBC India economics team estimate

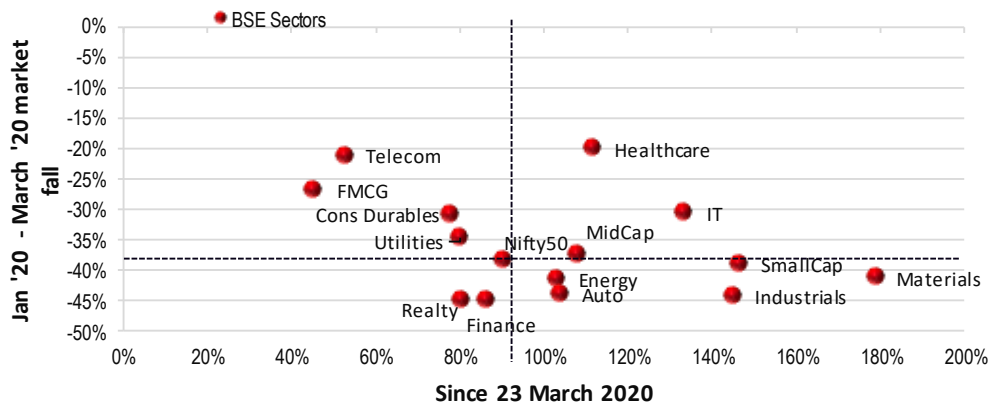
Market's reaction to second wave thus far

The market fall during the first COVID-19 wave was quite steep (Nifty was down c38% between Jan-March 2020), reflecting the level of uncertainty in the market, with a broad-based decline across sectors. But once the situation improved, the market demonstrated a strong recovery, even crossing pre-COVID-19 highs, led by faster-than-expected recovery momentum seen across the board.

Having learnt its lesson, the market has been pretty resilient during the second phase, with the Nifty50 down c5% from its February 2021 high.

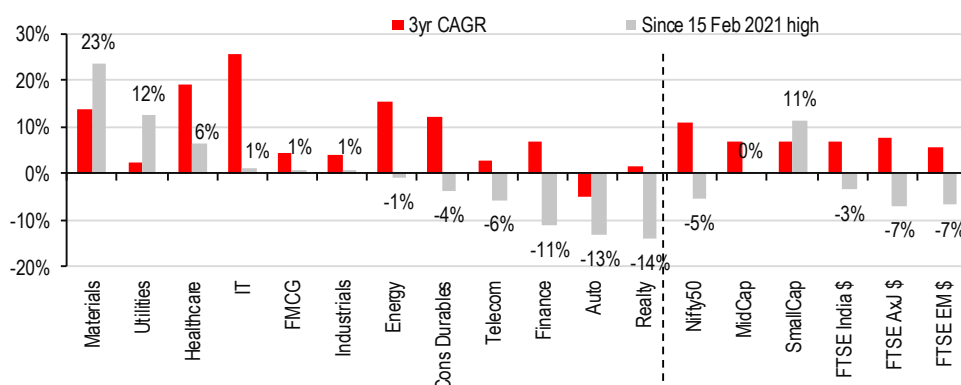
That said, we do see variation in performance across sectors – defensive sectors (utilities, healthcare, IT, FMCG) have held up well, while a few sectors that are more exposed to the discretionary demand cycle (autos, consumer durables) and higher macro linkages (financials, real estate) have fallen. Materials' outperformance is linked to its global upcycle.

Market recovered strongly post fall during the first wave, with cyclicals leading the recovery



Source: BSE, Refinitiv, HSBC. Data as of 4 May 2021

The market fall this time around has been gradual, but some sectors have fallen more



Source: BSE, Refinitiv, HSBC. Data as of 4 May 2021

We believe the market is in a short-term “vulnerability phase”

We believe the market could be very volatile depending on how the COVID-19 situation evolves, but any deep correction is quite unlikely making this phase a “vulnerability phase” within the overall bull market context.

The Indian market has experienced around 6 such phases in the past 15 years, which are precipitated by key events but don’t end up being sustained bearish phases, where the median fall of the market has been up to c15%, and lasting around 3 months.

While lockdowns can weigh on growth expectations in the near term, the acceleration of vaccine drives and overall direction of active cases will still act as the key catalyst for the market.

We think the medium-term stance of the market remains promising, as:

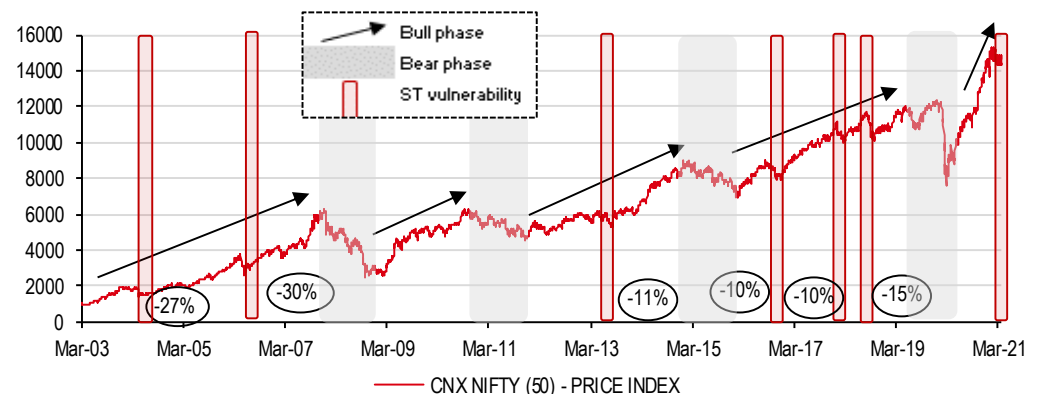
- ◆ **The market has learned from last year’s crisis:** the fall in the Nifty (38%) and subsequent rise (nearly 90%) last year around the COVID-19 first wave has shaped market expectations during this second wave that makes any pandemic-related sharp fall like last year’s unlikely.

- ◆ **The pace of macro recovery** has been better than expected post the first lockdown. Despite near-term disruption and downside risks, GDP growth is likely rebound to double digits in FY22. Most companies and supply chains are better prepared this time to avoid any large-scale disruptions, and even if there are disruptions, last year's pace of recovery experience makes them a temporary issue for the market's overall investment case.
- ◆ **Earnings too have come back strongly**, as companies have used the disruption as an opportunity to fine-tune their operating processes, weed out unnecessary expenses, re-align their supply chain to the new normal, and improve overall productivity.
- ◆ **Still, bouts of market falls can't be ruled out in this phase:** driven by expensive valuation in some cases from last year rally, scale of disruption and prolonged recovery of some business models and clearly depending on how COVID-19 situation progresses.
- ◆ **Long-term themes still positive:** PLI schemes to boost domestic manufacturing, investment in infrastructure, labour reforms, etc will likely act as key growth multipliers once the second wave subsides.
- ◆ **External environment is largely supportive:** The rise in crude prices and US bond yield are concerns, but they are still within the boundaries of past bull and bear phase.

Market could witness a sell-off over the next 1-2 months, but magnitude should be lower than during the first wave

Thus, we believe that the market is in a 'short-term vulnerability phase'¹ and the possibility of the market entering a fully-fledged bear phase appears less likely in the current context.

During previous short-term vulnerability phases, the median fall in the market has been around 15%



Source: Refinitiv, HSBC

¹ We define a short-term vulnerability phase as "any sharp fall in the market (10% plus) within a period of 2-3 months, followed by a quick recovery - most likely during an ongoing bull phase". Refer to [India Equity Strategy](#), 15 Mar 2019.

Short-term vulnerability phases in India over the past two decades

From	To	Description	Duration (months)	Market return	Mid cap	Small cap
6 Short-term vulnerabilities						
Apr-04	May-04	The surprise defeat of the ruling BJP in the 2004 elections resulted in the market shedding c20%. However, resilient macro conditions saw the market reverse all losses and end in the black by year-end 2004	2	-27%	-24%	-23%
May-06	Jun-06	Global sell-off triggered by fears of prolonged US rate hike cycle: The US Fed had already hiked the policy rate 16 times between June 2004 and May 2006 (c400bp) and rising inflationary pressure triggered a sell-off in the equity market, which shed 31% in one month	1	-30%	-35%	-39%
May-13	Aug-13	Risk of US QE tapering , announced by the Fed in June 2013, led to a sell-off seen across global markets. The Indian market declined by 15% between May 2013 and August 2013	3	-15%	-20%	-21%
Sep-16	Dec-16	Double whammy: Concern about the impact of demonetisation, announced in November 2016, on domestic growth and sustained FII outflows (USD4.6bn between October 2016 and December 2016), plus fears of a resumption in US rate hikes (eventually announced in December 2016)	3	-11%	-13%	-11%
Jan-18	Mar-18	Indian budget announcement of a 10% long-term capital gain tax as the investors remained worried about a steeper US rate hike cycle. The Indian market lost 10% in two months and underperformed the MSCI EM Index	2	-10%	-13%	-15%
Aug-18	Oct-18	Three factors: The Indian market declined by c16% between August 2018 and October 2018, due to: 1) IL&FS's debt default and ensuing credit crunch; 2) crude oil prices crossing USD80/b and pushing the INR to record low levels against the USD; and 3) fear of slowing global growth	2	-15%	-17%	-20%
Median stock market return during the period			3	-14.5%	-18.3%	-9.5%

Source: Refinitiv, HSBC. Note: Index performances are for Nifty50 and BSE MidCap/SmallCap indices

If the boundaries of past vulnerability phases are any guide, we believe that:

- ◆ **Any large-scale correction in the market is unlikely.** While another 8-10% correction may happen, we think the market is unlikely to fall to pre-COVID-19 levels of January 2020 (c15% below the current market level), given better macro and earnings outlook.
- ◆ **One should stay defensive but also position for recovery, look for bottom-up ideas.** During past such phases, sectors such as financials, technology and consumer services were the fastest to rebound during the recovery phase.

Equity market performance around previous short-term vulnerability phases in the last two decades

EVENT	Around 2004 elections			Global sell-off (rate hike)			US Taper Tantrum			Demonetisation			10% CG tax/ Steep rate hike fear			ILFS debacle/ crude rise			COVID-19 2nd wave		
Dates	April 2004 - May 2004			May 2006 - June 2006			May 2013 - Aug 2013			Sep 2016 - Dec 2016			Jan 2018 - Mar 2018			Aug 2018 - Oct 2018			Feb 2020 - Now		
FTSE sector index	-3M	Disruption	+3M	-3M	Disruption	+3M	-3M	Disruption	+3M	-3M	Disruption	+3M	-3M	Disruption	+3M	-3M	Disruption	+3M	-3M	Disruption	+3M
Oil&Gas	37%	-31%	5%	30%	-31%	19%	6%	-12%	8%	-4%	1%	17%	10%	-11%	8%	17%	-19%	14%	0.1%	-0.1%	0%
Materials	24%	-30%	22%	29%	-33%	27%	19%	-14%	16%	0%	-5%	20%	5%	-14%	-1%	10%	-9%	-8%	-25%	34%	0%
Industrials	13%	-24%	19%	20%	-33%	34%	19%	-24%	28%	18%	-18%	17%	5%	-11%	0%	12%	-20%	6%	-1%	1%	0%
Autos	23%	-17%	-3%	23%	-28%	21%	1%	-7%	13%	12%	-11%	15%	4%	-10%	3%	20%	-24%	4%	14%	-12%	0%
Personal Goods	24%	-20%	-6%	25%	-30%	18%	-3%	-4%	1%	13%	-13%	16%	-3%	-5%	13%	8%	-15%	11%	-3%	3%	0%
Food Producers	19%	-15%	0%	31%	-31%	12%	6%	-12%	14%	15%	-14%	12%	-8%	0%	19%	10%	-18%	18%	4%	-4%	0%
Healthcare	18%	-17%	0%	21%	-30%	24%	0%	-7%	11%	16%	-18%	9%	9%	-15%	11%	11%	-10%	-3%	-5%	5%	0%
Cons Services	18%	-39%	40%	18%	-32%	46%	-5%	-8%	12%	16%	-16%	25%	-5%	-4%	1%	9%	-17%	5%	8%	-7%	0%
Telecom	16%	-36%	25%	5%	-24%	36%	-11%	-3%	16%	10%	-12%	13%	18%	-12%	-14%	13%	-18%	0.1%	9%	-8%	0%
Utilities	36%	-42%	24%	20%	-29%	21%	21%	-24%	16%	0%	-5%	16%	7%	-11%	-6%	6%	-7%	-0.1%	-5%	5%	0%
Financials	23%	-34%	20%	17%	-31%	32%	29%	-32%	23%	15%	-15%	22%	9%	-13%	6%	15%	-21%	16%	11%	-10%	0%
Technology	-3%	-19%	29%	0%	-24%	39%	-22%	28%	9%	3%	-5%	7%	-4%	-4%	9%	11%	-11%	10%	-1%	1%	0%
Sensex	17%	-24%	13%	15%	-29%	31%	5%	-11%	15%	10%	-10%	14%	5%	-10%	9%	10%	-14%	9%	7%	-6%	0%
Nifty50	18%	-27%	15%	17%	-30%	29%	8%	-15%	16%	10%	-11%	15%	5%	-10%	7%	10%	-15%	8%	5%	-4%	0%
BSE 100	18%	-25%	14%	18%	-31%	31%	8%	-15%	16%	10%	-11%	16%	5%	-10%	6%	10%	-15%	8%	4%	-4%	0%
Mid Cap				28%	-35%	32%	15%	-20%	16%	11%	-13%	20%	7%	-13%	0%	12%	-17%	7%	-1%	1%	0%
Small Cap				39%	-39%	32%	20%	-21%	18%	8%	-11%	22%	8%	-15%	-2%	19%	-20%	5%	-9%	10%	0%
FTSE INDIA \$	26%	-29%	13%	22%	-31%	29%	19%	-28%	21%	11%	-12%	20%	9%	-12%	0%	14%	-20%	12%	3%	-3%	0%
FTSE AxJ \$	17%	-20%	6%	12%	-18%	11%	7%	-11%	10%	8%	-9%	15%	8%	-7%	-4%	11%	-15%	8%	6%	-6%	0%
FTSE EM \$	15%	-18%	5%	15%	-23%	13%	10%	-14%	10%	7%	-8%	15%	9%	-7%	-8%	9%	-12%	9%	6%	-6%	0%
FTSE DM \$	3%	-6%	0%	6%	-11%	8%	0%	-2%	9%	-1%	1%	5%	6%	-9%	3%	9%	-9%	0%	-4%	4%	0%

Source: Refinitiv, HSBC, FTSE

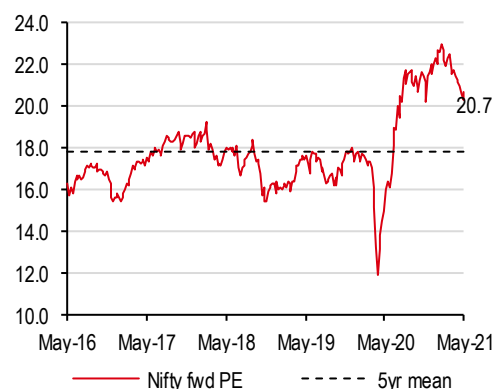
Valuations, earnings and flows

Valuation remains stretched

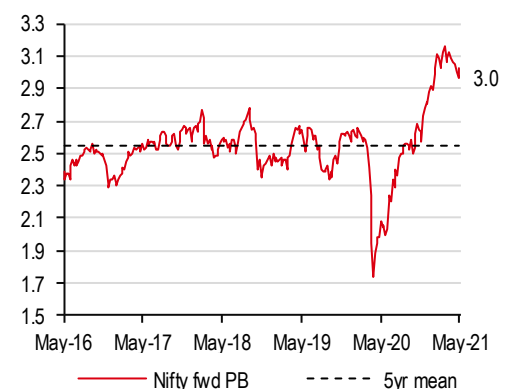
Purely at the market level, Indian market valuations appear stretched. Despite some softening, the Nifty50 still trades at a 16% premium to its 5-year mean forward PE and at an 18% premium to its 5-year mean forward PB valuations.

Also, FTSE sector levels' valuation data reveals that most sectors are now trading at or above their pre-COVID-19 valuation levels.

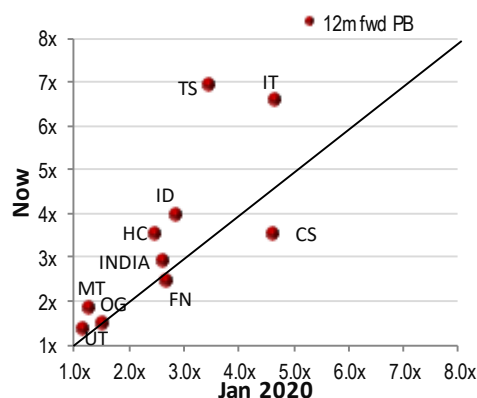
Nifty50 trades at 16% premium to its avg PE...



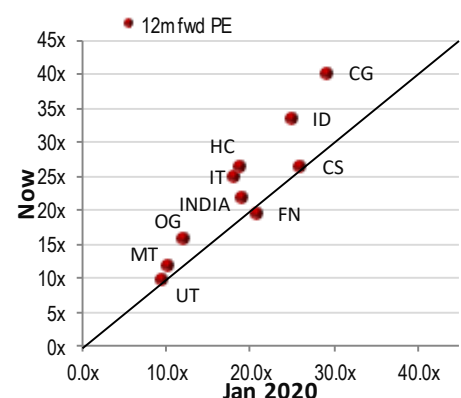
...and 18% premium to its avg PB levels



Most sectors trading above their pre-COVID-19 levels on PB valuations...



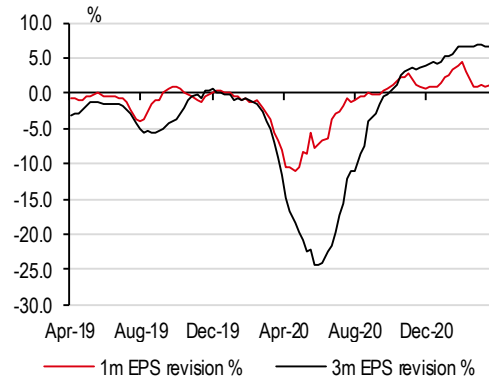
... as well as on PE valuations



Earnings outlook is robust

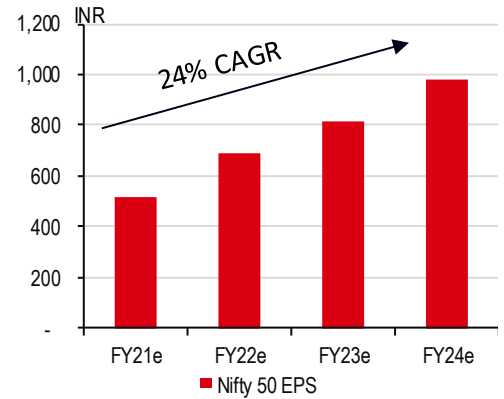
After years of subdued earnings, consensus expectations for the next few years are looking quite promising (33% earnings growth in FY22e and c24% FY21-24 earnings CAGR, according to IBES consensus from Refinitiv), and will likely aid the market to grow in the absence of any significant re-rating opportunity.

Earnings revisions have started to plateau...



Source: Refinitiv, HSBC. Note: Earnings momentum is % change in 12m fwd EPS estimate for Nifty50 index; data as of 4 May 2021.

...but medium-term earnings outlook remain robust

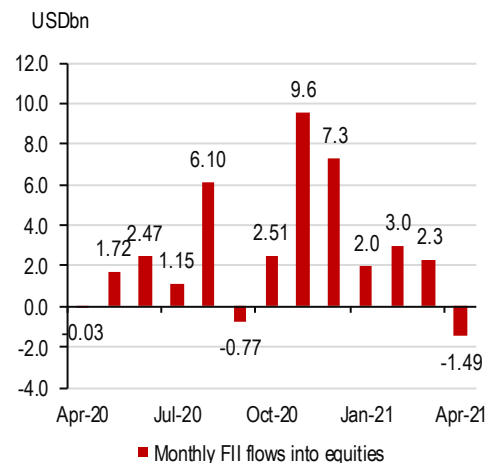


Source: Refinitiv, HSBC. Data as of 4 May 2021.

Foreign fund flows, too, may not be supportive

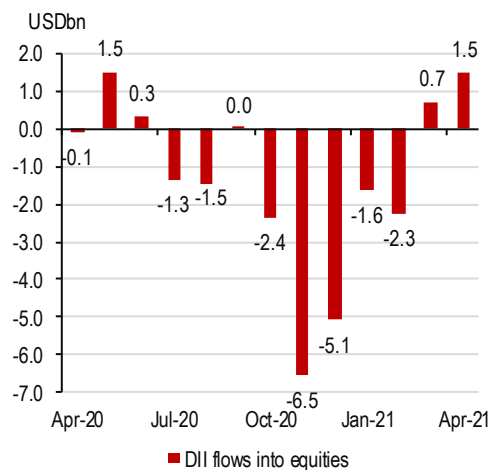
The base for FII flows is quite high (having pumped over USD36bn into the Indian equity market since April 2020). Nonetheless, domestic institutional investors (DIIs), who largely were booking profits through the rally, are showing some signs of returning to the market, and could ease pressure on fund flows.

FII flows have turned negative in April...



Source: Bloomberg, HSBC. Data as of 4 May 2021

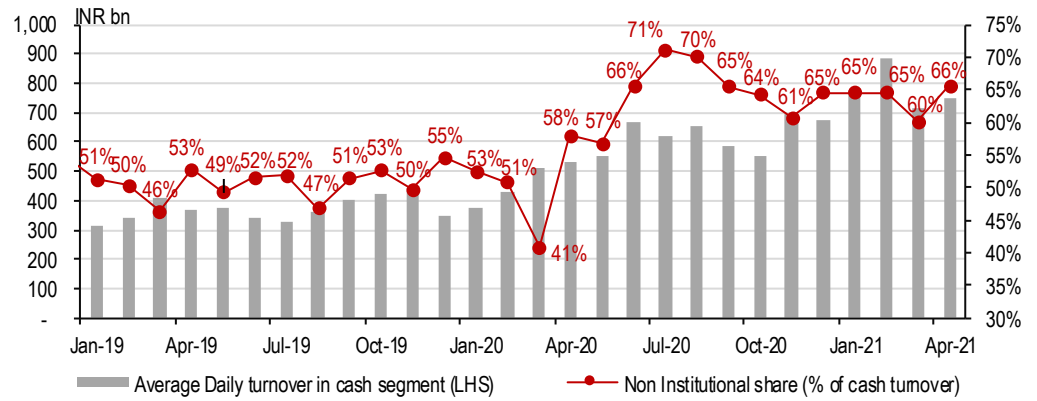
...while DIIs have just begun to warm up



Source: Bloomberg, HSBC. Data as of 4 May 2021

Interestingly, over the last one year, the decline in DII flows has been accompanied by a sharp rise in direct retail participation, a trend which has again seen a pick-up in April 2021.

The rebound in the market from March lows has been accompanied by higher retail participation



Source: Bloomberg, HSBC

How to position in the current market

While the market's valuation remains stretched, few segments have seen corrections amid rising COVID-19 cases, and we see opportunities in the current market context.

Based on our four categories, our analysts' preferred names are:

- ◆ **COVID-19 recovery plays:** Our analysts prefer **Indian Hotels** (down 18% from its latest high amid near-term demand uncertainty, but strategic shift towards asset-light business bodes well for medium-term outlook), and **Prestige Estates** (down 14% in the last one month on COVID-19 concerns, but valuation is attractive and its strong presence in Bengaluru augurs well for future growth).
- ◆ **Defensive and underperformers of last year,** which offer some protection in a risk-off market. Our analysts prefer **HUL** (lagged FMCG peers with just 5% gain from pre-COVID-19 levels, volume recovery is a key catalyst); **Bharti Airtel** (down c2% from pre-COVID-19 high, as market is yet to price the potential benefits from rising ARPU and market share gains); and **Axis Bank** (despite decent run-up in stock price recently, is still down c8% from pre COVID-19 levels, its strong balance sheet positions it well amid ongoing uncertainty).
- ◆ **Beneficiaries of a new normal in post COVID-19 era,** including health and wellness plays. Our analysts prefer two pharma names, **Cipla** and **IPCA**, which benefit from strong domestic sales and improving US outlook, and **Marico** (a play on health and wellness theme, core is doing well and Marico is aggressively expanding its healthy foods portfolio).
- ◆ **Structural winners with strong fundamentals** which look even more appealing after small corrections: Our analysts prefer **Titan** (stock is down c12% from its latest high amid lockdowns disrupting its operations, but Titan has scaled-up its Omni-channel strategy to manage disruptive period); **Asian Paints** (stock down c9% from its latest high, pent-up demand likely to drive volume growth once cases subside); **Bajaj Auto** (stock is down c10% from its Feb 2021 high, we see recent weakness as an opportunity to own this structural name in 2Ws); **ICICI Bank** (down 12% from Feb 2021 high, still better placed than peers in the current uncertain environment with healthy capital, sufficient liquidity and improving loan book); and **Bajaj Finance** (we expect BAF to return to a high growth phase from FY22e, and see any disruption as an opportunity to own this structural winner).

Analysts' key Buy ideas

Bloomberg Stock		Mcap (USDm)	Rating	HSBC TP (INR)	CMP (INR)	Upside to TP	Stock performance					
							From latest highs	From pre COVID-19 highs	Last 1 year	YTD 2021	12m fwd PB	5yr avg
IH IN	Indian Hotels	1,754	Buy	160.00	108.90	47%	-17.9%	-26.2%	49.9%	-9.3%	3.7x	3.4x
PEPL IN	Prestige Estates	1,450	Buy	380.00	267.25	42%	-14.4%	-35.6%	63.4%	0.4%	1.6x	1.8x
HUVR IN	Hindustan Unilever Ltd	76,590	Buy	3000.00	2407.65	25%	-3.2%	5.0%	15.6%	0.5%	13.0x	38.8x
AXSB IN	Axis Bank Ltd	29,053	Buy	830.00	700.35	19%	-11.8%	-7.5%	73.9%	12.9%	1.9x	2.0x
BHARTI IN	Bharti Airtel	41,054	Buy	700.00	552.45	27%	-9.3%	-2.2%	3.8%	8.4%	4.2x	2.4x
TTAN IN	Titan Company Ltd	16,863	Buy	1800.00	1402.90	28%	-11.9%	5.5%	57.3%	-10.5%	14.7x	11.4x
ICICIB IN	ICICI Bank	55,410	Buy	670.00	591.55	13%	-12.2%	7.7%	75.0%	10.6%	2.5x	1.9x
BAF IN	Bajaj Finance Ltd	45,815	Buy	6375.00	5615.75	14%	-2.8%	15.1%	170.0%	6.1%	7.4x	6.1x
BJAUT IN	Bajaj Auto	15,006	Buy	4300.00	3830.40	12%	-9.6%	16.6%	56.8%	11.2%	4.3x	4.0x
APNT IN	Asian Paints	33,599	Buy	3150.00	2587.15	22%	-9.2%	36.6%	54.3%	-6.4%	18.0x	13.6x
IPCA IN	Ipca Laboratories	3,613	Buy	2530.00	2103.50	20%	-11.2%	39.7%	30.3%	-3.9%	4.6x	3.2x
CIPLA IN	Cipla	9,592	Buy	1055.00	878.45	20%	-7.5%	81.4%	43.6%	7.1%	3.5x	2.9x
MRCO IN	Marico Industries	8,054	Buy	510.00	460.75	11%	0.0%	31.8%	62.0%	14.4%	16.2x	13.7x

Source: Refinitiv, HSBC. Data as of 4 May 2021. Note: Dates for latest stock price highs are "IH=7 Dec '20", "PEPL=9 Apr '21", "HUVR=15 Apr '20", "AXSB=15 Feb '21", "ICICIB=15 Feb '21", "BHARTI=3 Feb '21", "TTAN=9 Apr '21", "BAF=15 Feb '21", "BJAUT=8 Feb '21", "APNT=11 Jan '21", "IPCA=5 Nov '20", "CIPLA=20 Apr '21", "MRCO = 4 May '21"

Fundamental analyst views for stocks on our strategy list

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Indian Hotels (IH IN, Buy, TP INR160.00)

While the industry faces liquidity challenges, Indian Hotels has used the occasion to acquire assets, most on management contracts at depressed prices, which strengthens its strategic growth opportunity, in our view. In addition, it has been restructuring its cost base, and also diversifying revenue streams through high margin activities, which should improve profitability in the medium term, in our view. In this context, the stock's recent weakness on rising COVID-19 cases has largely ignored the growth prospects and presents an opportunity to add to positions in this name.

Bajaj Finance (BAF IN, Buy, TP INR6375.00)

We like BAF for its robust business model and strong management execution capability. After the challenges of FY21, we expect BAF to return to a high growth phase from FY22e. BAF's tech initiatives are underway, which should allow it to lend to its customers seamlessly and reduce its customer acquisition costs. Moreover, its strong capital level (25.1% Tier 1 ratio) and liquidity position should allow it to tap potential opportunities.

Axis Bank (AXSB IN, Buy, TP INR830.00)

Axis Bank's key strengths include its well-diversified funding base (retail liabilities form 85% of deposits) and significant focus in the secured retail segment and higher yielding SME segment. We take comfort from Axis Bank's strong rating mix in the corporate book (84% rated A and above), limited exposure to unsecured retail loans (c9% of total loans), high share of retail liabilities (CASA & retail TDs at 86% of deposits), healthy capital position (CET1 of 15.4%) and NPA provision cover (over 72%). The strengthening of the balance sheet positions it well amid ongoing uncertainty, in our view.

ICICI Bank (ICICIB IN, Buy, INR670.00)

We believe ICICI Bank, the second largest private sector bank with c7% market share of loans, is better placed than peers in the current uncertain environment, as it continues to deliver on key themes – its loan book growth is improving (14% y-o-y). The bank is sitting on robust additional provisions (1.8% of loans), excess liquidity (LCR at 134%), and healthy capital (Tier-I of 18.1%). It reported 18% domestic loan book growth in FY21 which is 3x the system loan growth and amongst the fastest vs peers. The bank is investing in its digital capabilities and also scaling up its presence in retail which is key to bolster retail liabilities and to diversify the assets mix.

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Bajaj Auto (BAF IN, Buy, TP INR4300.00)

Bajaj is one of the most diversified business models among Indian Autos. Structurally the company's strong presence in high growth segments such as premium bikes, exports and early lead on EVs augurs well for its long-term growth prospects. We see multiple triggers in the mid to long term. First, successful new products in partnership with the Triumph and Husqvarna brands should be significantly value accretive and buoy investor sentiment. Bajaj has already seen tremendous success with KTM. Second, recovery in 3Ws as mobility normalises benefits Bajaj the most. Thirdly, we expect Bajaj to be aggressive in the eRick and e3W markets and not lose its leadership positions. Lastly, its ramp-up in the e2W market is an opportunity to gain market share and come back in the scooter market, which has been a miss for Bajaj for the past 15 years.

Asian Paints (APNT IN, Buy, INR3150)

Asian Paints, the dominant leader in the lucrative decorative paints industry, has further consolidated its competitive position post COVID-19, helped by market share gain from organised and unorganised players. We believe demand remains strong and will continue to surprise positively. In this context, we see recent weakness in share price (down c9% from Jan 2021 high) as a good opportunity to own this structural name.

Titan (TTAN IN, Buy, INR1800.00)

Titan looks well-placed to capture value from the long-term growth potential in the jewellery sector by gaining market share consistently. It is also building long-term growth options, such as Taneira (ethnic wear), which has begun well and has the potential to be a large value driver. While the second COVID-19 wave poses some concerns, Titan is better prepared (leveraging its digital channels) to mitigate the impact of any potential disruption, in our view. Strong earnings growth in FY22, on a benign base, could be a key catalyst for stock performance, in our view.

Hindustan Unilever (HUVR IN, Buy, INR3000.00)

HUL remains one of our key ideas in the India consumer sector, and we think it is one of the best ways to participate in the India consumption story; however, the lacklustre near-term performance due to temporary factors (such as the performance of the skincare and beauty categories impacted by lockdowns) has led the stock to completely miss the post COVID-19 market rally. In our view, in a risk off environment, HUL stands out as the key defensive play to own in a volatile environment. A return to respectable volume growth will be the key catalyst for stock performance, in our view.

Marico (MRCO IN, Buy, TP INR510)

Marico appears to be a unique beneficiary of the current crisis in that its brands such as Saffola have gained renewed momentum, driven by consumer preferences for health and hygiene. Copra inflation is expected to remain moderate in FY22e, which is positive for its Parachute coconut oil segment. VAHO has also recovered well after an extended period of disruption. Marico has stepped up its direct distribution, and exploited online channels, which is now resulting in an optimum marketing mix for its various brands and new launches. Marico is shaping up its healthy food portfolio with new launches such as honey, oats noodles, etc. which have potential to add significantly to the bottom line in the medium term

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IPCA Laboratories (IPCA IN, Buy, INR2530.00)

We like IPCA's "no-frills" business model with a strong focus on cost competitiveness, led by 1) Strong outlook for base India sales (45% of total company sales) on sustained momentum in focused therapies (e.g. pain/analgesics, cardiac etc.), 2) An absolute focus on cost competitiveness driven by process efficiencies and a highly integrated manufacturing set up, 3) As one of most cost-efficient manufactures, it remains a key beneficiary of current tailwind of customer focus on "China+1" strategy for APIs, and institutional supplies, 4) FDA resolution of 'import alert' ban for the three affected facilities will be a key re-rating catalyst in our view, and 5) Valuation is reasonable post 15-16% correction in 1yr fwd PE from recent peak of 25.6x while earnings outlook remains intact (HSBCe FY20-23e EPS CAGR of 27%)

Cipla (CIPLA IN, Buy, INR1055.00)

We like Cipla, a consistent performer in focused segments, on back of: 1) Strong outlook for base India sales in view dominant positions in focus segments (e.g. respiratory, cardiology) and 'One India' strategy led portfolio synergies; 2) Potential upsides from higher demand for covid-19 related products (remdesivir, tocilizumab, diagnostic kits etc. accounted for ~4% of total sales in 9MFY21), 3) Improving profitability of US sales on scale-up in respiratory sales (~25% of 9M US sales) and consistent launches, 4) Strong delivery on cost optimization and further upsides on process efficiencies and higher digital adoption, and 5) Comfortable valuation with one-year rolling forward PE of 24x (c3-year average PE of 23x) despite strong earnings expectations (HSBCe FY20-23e EPS CAGR of 29%)

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Prestige Estates Projects (PEPL IN, Buy, INR380.00)

Prestige Estate is a top developer for Bengaluru, which we believe is one the best markets to show absorption growth. It has large amount of ready inventory which will allow it to generate free cash flow without incremental investment. It has also recently sold its office portfolio and mall portfolio to Blackstone which has resulted in net debt coming down to negligible levels. This will give it agility to invest in optimal new office and residential projects.

Despite reduced leverage, stock continues to trade a low valuation multiple citing completion and receipt of funds from Blackstone and scepticism for its entry into Mumbai. We believe announcement of first phase of sale to Blackstone gives us confidence on progress and it ties in well with Blackstone's ambitious plan for malls space. In the interim, stock trades at c1 std deviation (c50% discount) below its mean discount to NAV. We see completion of deal and new sales as catalyst for the stock

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Bharti Airtel (BHARTI IN, Buy, TP INR700)

India mobile ARPU is set to rise as the company gains high value subs with migration of subscribers from 2G to 4G and potential tariff hikes in FY22e and FY23e. We expect consolidated revenue and EBITDA to expand at 12% and 15% CAGR, respectively, over FY20-23e. We expect 4G subs penetration to surge to c80% by FY23e, which would further support ARPU improvement.

We think the Street is missing potential improvement in ARPU as the company grabs high-value and post-paid subs due to its strong brand and network position. Potential catalysts are rise in ARPU and market share gains.

High frequency indicators indicate continuous improvement in activities till March 2021

% YoY	Sep-19	Oct-19	Nov-19	Dec-19	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21
Consumption activity																			
Total Motorcycle Sales	-23.3%	-15.9%	-14.9%	-12.0%	-15.2%	-22.0%	-41.9%	NA	-83.0%	-35.2%	-4.9%	10.1%	17.3%	23.8%	14.9%	6.7%	5.1%	11.5%	74.1%
Total Scooters	-16.6%	-9.8%	-11.8%	-24.5%	-16.2%	-14.3%	-32.1%	NA	-86.5%	-47.4%	-36.5%	-12.3%	0.1%	1.8%	9.3%	5.6%	9.1%	10.1%	74.0%
Passenger Cars	-35.5%	-10.2%	-14.2%	-12.7%	-13.5%	-13.3%	-54.7%	NA	-89.9%	-58.0%	-12.0%	14.1%	28.9%	9.7%	-2.8%	8.4%	-1.2%	4.4%	94.5%
Utility Vehicles	0.3%	14.8%	26.4%	20.7%	-1.9%	-5.5%	-48.2%	NA	-75.5%	-31.2%	13.9%	15.5%	24.5%	20.4%	17.2%	19.8%	37.3%	45.3%	153.4%
Total LCV	-23.1%	-8.7%	-5.4%	1.3%	-0.7%	-28.0%	-88.7%	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Foreign Tourist Arrivals	4.4%	6.2%	7.9%	2.9%	0.6%	-6.9%	-66.4%	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA
Airport traffic (domestic)	0.2%	2.7%	10.5%	1.9%	1.5%	10.0%	-32.9%	-99.9%	-97.4%	-83.5%	-82.6%	-75.8%	-65.1%	-56.8%	-50.2%	-42.9%	-38.7%	-35.9%	33.0%
Airport traffic (international)	0.2%	3.7%	4.0%	2.0%	0.2%	-3.4%	-56.2%	-99.1%	-98.0%	-93.0%	-90.4%	-89.7%	-87.8%	-85.2%	-82.8%	-79.5%	-76.9%	-73.6%	
Petrol consumption (volume)	6.3%	8.9%	9.3%	3.3%	3.5%	11.3%	-16.4%	-60.5%	-35.4%	-13.5%	-10.4%	-7.5%	3.3%	4.5%	5.1%	9.4%	6.3%	-1.9%	27.1%
Nominal Rural wage growth	3.4%	3.0%	3.0%	3.2%	3.8%	4.2%	4.0%	5.5%	6.8%	7.9%	7.6%	6.4%	5.0%	5.0%	5.3%	5.5%	5.2%	5.2%	6.1%
Real Rural wage growth	0.2%	-1.3%	-2.2%	-4.1%	-3.9%	-2.5%	-2.1%	-1.7%	0.6%	1.6%	0.9%	-0.3%	-2.4%	-2.8%	-1.9%	1.5%	2.0%	1.0%	1.5%
Business activity																			
Total M&HCV	-62.1%	-50.1%	-32.8%	-31.7%	-34.6%	-40.4%	-87.1%	0.0%											
GST collection (INRbn)	919	954	1,035	1,032	1,108	1,054	976	322	622	909	874	864	955	1,052	1,050	1,152	1,199	1,131	1,239
Cement production	-2.0%	-7.7%	4.3%	5.5%	5.1%	7.8%	-25.1%	-85.2%	-21.4%	-6.8%	-13.5%	-14.5%	-3.4%	3.2%	-7.3%	-7.2%	-5.8%	-5.6%	32.5%
Steel consumption	4.9%																		
Steel production	-1.4%	-0.5%	7.0%	8.7%	1.6%	2.9%	-21.9%	-82.8%	-40.4%	-23.2%	-6.5%	0.5%	6.2%	5.9%	0.7%	3.5%	6.2%	1.3%	23.0%
Power generation	-2.6%	-12.2%	-4.9%	0.0%	3.2%	11.5%	-8.2%	-22.9%	-14.8%	-10.0%	-2.4%	-1.8%	4.8%	11.2%	3.5%	5.1%	5.5%	0.2%	21.6%
Rail cargo volume (BTKM)	-11.2%	-11.1%	-2.8%	-0.2%	-3.1%	3.7%	-18.9%	-40.1%	-28.1%	-11.6%	-7.7%	1.4%	17.9%	11.0%	8.4%	13.5%	11.1%	7.8%	33.0%
Rail cargo (ex coal) volume	-3.1%	-4.0%	5.1%	7.1%	6.1%	11.8%	-13.4%	-36.2%	-11.6%	7.8%	5.9%	8.8%	20.1%	21.0%	18.2%	21.0%	18.3%	12.7%	39.9%
Diesel consumption (volume)	-3.2%	-7.3%	9.0%	0.0%	-1.6%	6.3%	-24.0%	-55.6%	-29.5%	-15.5%	-19.5%	-20.7%	-5.9%	7.5%	-6.9%	-2.7%	-2.1%	-8.4%	27.6%
LPG(volume)	5.1%	13.7%	22.8%	8.7%	5.5%	-5.0%	1.1%	11.1%	11.7%	15.0%	2.0%	-5.4%	4.7%	3.1%	4.1%	7.4%	2.4%	7.7%	-1.5%
Total Petroleum Products	1.0%	-1.2%	9.8%	1.3%	1.8%	5.2%	-15.6%	-48.9%	-20.2%	-9.0%	-13.3%	-15.8%	-4.4%	2.4%	-3.5%	-1.7%	-3.7%	-4.6%	17.9%
Credit																			
Non-agri, non-personal credit (nominal)	4.8%	4.8%	3.5%	6.9%	5.3%	3.5%	3.7%	6.0%	5.9%	6.0%	5.0%	4.2%	4.2%	3.4%	3.7%	3.4%	3.2%	4.2%	0.9%
Non-agri, non-personal credit (real)	0.8%	0.2%	-2.1%	-0.5%	-2.3%	-3.1%	-2.1%	-1.2%	-0.3%	-0.2%	-1.7%	-2.5%	-3.1%	-4.2%	-3.3%	-1.2%	-0.8%	-0.8%	-4.6%
Personal credit (nominal)	16.6%	17.2%	16.4%	9.6%	16.9%	17.0%	15.0%	12.1%	10.6%	10.5%	11.2%	10.6%	9.2%	9.3%	10.0%	9.5%	9.1%	9.6%	10.2%
Personal credit (real)	12.6%	12.6%	10.8%	2.2%	9.3%	10.5%	9.2%	4.8%	4.3%	4.3%	4.5%	3.9%	1.9%	1.7%	3.0%	4.9%	5.0%	4.5%	4.7%
Business sentiment indicators (index)																			
Purchasing managers' index - composite	49.8	49.6	52.7	53.7	56.3	57.6	50.6	7.2	14.8	37.8	37.2	46.0	54.6	58.0	56.3	54.9	55.8	57.3	56.0
Purchasing managers' index - manf.	51.4	50.6	51.2	52.7	55.3	54.5	51.8	27.4	30.8	47.2	46.0	52.0	56.8	58.9	56.3	56.4	57.7	57.5	55.4
Purchasing managers' index - services	48.7	49.2	52.7	53.3	55.5	57.5	49.3	5.4	12.6	33.7	34.2	41.8	49.8	54.1	53.7	52.3	52.8	55.3	54.6

Source: CEIC, Bloomberg, RBI, GST Council

High frequency indicators (cont....)

% YoY	Sep-19	Oct-19	Nov-19	Dec-19	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21
8 core infrastructure industries-Prod																			
Coal	-20.5%	-17.6%	-3.5%	6.1%	8.0%	11.3%	4.0%	-15.5%	-14.0%	-15.5%	-5.7%	3.6%	21.0%	11.7%	3.3%	2.2%	-1.9%	-4.4%	-21.9%
Crude Oil	-5.4%	-5.1%	-6.0%	-7.4%	-5.3%	-6.4%	-5.5%	-6.4%	-7.1%	-6.0%	-4.9%	-6.3%	-6.0%	-6.2%	-4.9%	-3.6%	-4.6%	-3.2%	-3.1%
Natural Gas	-4.9%	-5.6%	-6.4%	-9.2%	-9.0%	-9.6%	-15.1%	-19.9%	-16.8%	-12.0%	-10.2%	-9.5%	-10.6%	-8.6%	-9.3%	-7.2%	-2.0%	-1.0%	12.3%
Refinery Products	-6.6%	0.4%	3.1%	3.0%	1.9%	7.4%	-0.5%	-24.2%	-21.3%	-8.9%	-13.9%	-19.1%	-9.5%	-17.0%	-4.8%	-2.8%	-2.6%	-10.9%	-0.7%
Fertilizers	5.4%	11.8%	13.6%	10.2%	-0.1%	2.9%	-11.9%	-4.5%	7.5%	4.2%	6.9%	7.3%	-0.3%	6.3%	1.6%	-2.9%	2.7%	-3.7%	-5.0%
Steel	-1.4%	-0.5%	7.0%	8.7%	1.6%	2.9%	-21.9%	-82.8%	-40.4%	-23.2%	-6.5%	0.5%	6.2%	5.9%	0.7%	3.5%	6.2%	1.3%	23.0%
Cement	-2.0%	-7.7%	4.3%	5.5%	5.1%	7.8%	-25.1%	-85.2%	-21.4%	-6.8%	-13.5%	-14.5%	-3.4%	3.2%	-7.3%	-7.2%	-5.8%	-5.6%	32.5%
Electricity	-2.6%	-12.2%	-4.9%	0.0%	3.2%	11.5%	-8.2%	-22.9%	-14.8%	-10.0%	-2.4%	-1.8%	4.8%	11.2%	3.5%	5.1%	5.5%	0.2%	21.6%
Overall Index	-5.1%	-5.5%	0.7%	3.1%	2.2%	6.4%	-8.6%	-37.9%	-21.4%	-12.4%	-7.6%	-6.9%	0.6%	-0.5%	-1.1%	0.4%	0.9%	-3.8%	6.8%

	Sep-19	Oct-19	Nov-19	Dec-19	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21
IIP																			
Industrial Production (%)	-4.6%	-6.6%	2.1%	0.4%	2.2%	5.2%	-18.7%	-57.3%	-33.4%	-16.6%	-10.5%	-7.1%	1.0%	4.5%	-1.6%	1.6%	-0.9%	-3.6%	
IP- Manufacturing growth	-4.3%	-5.7%	3.0%	-0.3%	1.8%	3.8%	-22.8%	-66.6%	-37.8%	-17.0%	-11.4%	-7.6%	0.4%	4.5%	-1.6%	2.1%	-1.3%	-3.7%	
IP- Capital Goods	-20.5%	-22.4%	-8.9%	-18.3%	-4.4%	-9.6%	-38.8%	-92.7%	-65.9%	-37.4%	-22.8%	-14.4%	-1.2%	3.2%	-7.5%	1.5%	-9.0%	-4.2%	
IP- Consumer Durables growth	-10.5%	-18.9%	-1.4%	-5.6%	-3.7%	-6.2%	-36.8%	-95.7%	-70.3%	-34.8%	-23.7%	-10.2%	5.3%	18.1%	-3.2%	5.7%	-0.2%	6.3%	
IP- Consumer non-durables growth	-1.1%	-3.3%	1.1%	-3.2%	-0.6%	-0.3%	-22.3%	-48.1%	-9.7%	6.9%	1.8%	-3.0%	2.4%	7.3%	-0.7%	0.5%	-5.4%	-3.8%	

Trade																			
Exports	-13.0%	-18.0%	-12.2%	-5.9%	0.1%	4.0%	-22.9%	-55.7%	-46.9%	-43.3%	-21.7%	-18.3%	-16.6%	-8.4%	-10.0%	12.0%	4.6%	8.9%	50.5%
Imports	-17.3%	-31.0%	-18.1%	-0.6%	15.6%	14.5%	-14.7%	-59.8%	-71.7%	-55.7%	-33.0%	-41.4%	-35.9%	-38.3%	-43.4%	-10.6%	-27.7%	-16.6%	2.2%
Non oil-Non Gold Exports	-6.4%	-2.4%	1.7%	-0.3%	-0.4%	3.2%	-30.0%	-56.3%	-23.8%	-2.4%	5.8%	-2.9%	9.8%	6.3%	4.7%	10.1%	14.6%	6.8%	
Non oil Non Gold Imports	-7.6%	-11.5%	-11.0%	-8.3%	-4.0%	1.1%	-24.5%	-49.2%	-28.9%	-36.7%	-22.0%	-20.3%	-9.3%	-1.6%	2.0%	12.8%	10.1%	7.8%	

Inflation y/y	Sep-19	Oct-19	Nov-19	Dec-19	Jan-20	Feb-20	Mar-20	Apr-20	May-20	Jun-20	Jul-20	Aug-20	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21
CPI	4.0%	4.6%	5.5%	7.4%	7.6%	6.6%	5.8%	7.2%	6.3%	6.2%	6.7%	6.7%	7.3%	7.6%	6.9%	4.6%	4.1%	5.0%	5.5%
CPI: Core	4.0%	3.5%	3.5%	3.8%	4.2%	4.1%	4.0%	4.8%	5.0%	5.3%	5.7%	5.8%	5.7%	5.8%	5.8%	5.6%	5.6%	5.9%	6.0%
CPI: Food and Beverages	4.7%	6.9%	8.7%	12.2%	11.7%	9.5%	7.8%	10.5%	8.4%	7.9%	8.5%	8.3%	9.8%	10.1%	8.9%	3.9%	2.7%	4.3%	5.2%
CPI: Fruit	0.8%	4.1%	3.2%	4.5%	5.8%	4.0%	3.6%	2.7%	2.0%	0.3%	0.1%	1.0%	3.1%	0.3%	0.2%	2.7%	5.0%	6.3%	7.9%
CPI: Vegetables	15.5%	26.1%	36.1%	60.5%	50.0%	31.6%	18.6%	23.6%	5.5%	4.0%	11.1%	11.5%	20.8%	22.1%	15.5%	-10.5%	-15.8%	-6.3%	-4.8%
WPI	0.3%	0.0%	0.6%	2.8%	3.5%	2.3%	0.4%	-1.6%	-3.4%	-1.8%	-0.2%	0.4%	1.3%	1.3%	2.3%	2.0%	2.5%	4.2%	7.4%
WPI: Primary Articles	5.5%	6.0%	7.6%	11.5%	10.0%	6.5%	2.2%	-1.1%	-2.1%	-0.1%	1.6%	1.9%	4.1%	4.3%	3.8%	-0.6%	-1.6%	1.8%	6.4%
CPI Urban	4.8%	5.1%	5.8%	7.5%	7.4%	6.6%	5.6%	7.3%	6.4%	6.1%	6.7%	6.8%	7.3%	7.3%	6.7%	5.2%	5.1%	6.0%	6.5%
CPI Rural	3.2%	4.3%	5.3%	7.3%	7.7%	6.7%	6.1%	7.2%	6.2%	6.3%	6.8%	6.7%	7.4%	7.8%	7.2%	4.1%	3.2%	4.2%	4.6%

Source: CEIC, Bloomberg, RBI, GST Council

Valuation and risks

	Valuation	Risks
Indian Hotels IH IN Buy	Current price: INR108.90 Target price: INR160.00 Up/downside: +46.9% Our target price of INR160 is based on the sector average EV/EBITDA of c25x to our FY23e EBITDA estimate of INR11.6bn. This results in a fair value of INR244 per share. We add the market value of investments and deduct net debt and minority interests, which gives a fair value of INR201.00 at the consolidated level. We now also apply a discount rate of 12.1%, based on a risk-free rate of 2.5%, equity risk premium of 5.5%, inflation differential of 2.5%, and beta of 1.1x. Our discount rate also includes an additional risk premium of 2% to reflect the uncertainty related to COVID-19 (all assumptions unchanged). This results in an unchanged target price of INR160, which implies 47% upside from current levels. Hence, we maintain our Buy rating on the stock as we think Indian Hotels should be beneficiary of the consolidations (exits) in the industry and its own strategic growth initiative. Achal Kumar* achalkumar@hsbc.co.in +91 80 4555 2751	Downside risks: (1) extended impact of demand weakness following the second wave of lockdowns; (2) an extended slowdown in the macro environment, which could have a significant impact on leisure demand; and (3) a slower than expected recovery in international demand.
Bajaj Finance BAF IN Buy	Current price: INR5615.75 Target price: INR6375.00 Up/downside: +13.5% We use a residual income valuation methodology to determine our target price. We assume a cost of equity of 10.9% based on a risk-free rate of 2.5%, inflation differential for India of 2.5%, equity risk premium of 5.5% and beta of 1.07. We also assume a long-term growth rate of 5.0% (all unchanged). Our target price of INR6375 implies c14% upside from current levels and we maintain our Buy rating on the stock, as we expect BAF to return to high growth phase in FY22e. Umang Shah* umang.shah@hsbc.co.in +91 22 2268 1243	Downside risks: 1) moderation in consumption demand, resulting into slower growth, and 2) stiff competition from private banks, which could dent BAF's market share in the medium term; and 3) the prospect of a conversion into a universal bank, which could hurt return ratios and thereby valuation multiples.
Axis Bank AXSB IN Buy	Current price: INR700.35 Target price: INR830.00 Up/downside: +18.5% Our target price, based on a residual income valuation methodology, is INR830 (unchanged). Our assumptions include a cost of equity of 11.3%, US risk-free rate of 2.5%, inflation differential for India of 2.5%, equity risk premium of 5.5%, beta of 1.2, and long-term growth rate of 5.0% (all assumptions unchanged). Our target price implies upside of c19%. Ahead-of-the-curve investment in branch expansion and the bank's more granular exposure should support underlying profitability, so we reiterate our Buy rating. Rahil Shah* rahil.shah@hsbc.co.in +91 22 6628 3719	Downside risks: Lower-than-expected loan growth; margins surprising on the downside due to stronger competition exerting pressure on pricing or a continued slowdown pushing banks to lend to higher-rated customers (which typically carries lower yields); worse-than-expected slippages or haircuts on NPLs; and lower-than-expected recoveries.
ICICI Bank ICICIB IN Buy	Current price: INR591.55 Target price: INR670.00 Up/downside: +13.3% We base our target price for ICICI Bank on a sum-of-the-parts approach, valuing the core banking business using an excess return methodology and the other businesses using peer multiples. We assume a cost of equity of 11.5% (unchanged); a US risk-free rate of 2.5%, a 2.5% inflation differential for India, an equity risk premium of 5.5%, a long-term growth rate of 5.0%, and a beta of 1.2 (all assumptions unchanged). The excess return valuation methodology gives us a standalone bank valuation of INR475 (unchanged). Adding INR195 per share (unchanged) for subsidiaries (e.g., ICICI Prudential Life, ICICI Lombard, ICICI AMC) as part of our sum-of-the-parts valuation of the consolidated entity leads to our target price of INR670 (unchanged) which implies upside of c13% from current levels. We maintain our Buy rating on the stock as we believe the bank's strong capital position, wide branch network, execution in growing the non-mortgage part of the retail loan book and recent branch expansion position it to deliver better-than-expected outcomes in the event of a better-than-expected credit demand environment or competitive context. Rahil Shah* rahil.shah@hsbc.co.in +91 22 6628 3719	Downside risks: Slower-than-expected loan momentum; more intense-than-expected competition leading to margin pressure; a spike in NPLs and credit costs; more slippages or haircuts than expected; and a delayed economic recovery.

Valuation		Risks
Bajaj Auto BJAUT IN Buy	Current price: INR3830.40 Target price: INR4300.00 Up/downside: +12.3%	Downside risks: A prolonged impact of COVID-19 on overall demand and supply in the domestic market and key export markets remains the key risk. A greater-than-expected impact on 3W volumes due to aversion to public transport is a risk too. Other risks include unsuccessful launches of new products; increasing competition in the premium segment; volatility in export markets; and higher-than-expected earnings deterioration due to aggressive marketing expenditures. Importantly, significant fluctuation in key export market currencies in this uncertain environment is a risk as well.
	We value Bajaj Auto's core business using a long-term DCF methodology. Our DCF inputs are based on the HSBC equity strategists' latest assumptions for which India's expected market return factors in a risk-free rate of 2.5%, market premium of 5.5% and inflation differential of 2.5%. We assume a terminal growth rate of 3%. Our terminal growth rate factors in a relatively high two-wheeler penetration versus four-wheeler. We now assume an adjusted beta of 0.90 (down from 0.95) to factor in the strong performance in the recent quarters and subsequent lower risk perception. We also add the value of Bajaj's stake (48%) in KTM AG (not listed), which we now value at INR 208 per Bajaj share based on our revised target PE of 22x for FY20 to factor in the strong improvements in KTM's volume and earnings performances for past three quarters. Our target PE is at c30% premium to historical average. We also apply a 25% holding company discount (due to intercompany transactions). We maintain our DCF-based target price of INR4,300. Our target price implies c12% upside. We maintain our Buy rating as we believe the risk-reward dynamic is favorable as we view Bajaj as a more defensive company than peers with a strong export portfolio and strong balance sheet. Yogesh Aggarwal* yogeshaggarwal@hsbc.co.in +91 22 2268 1246	
Asian Paints APNT IN Buy	Current price: INR2587.15 Target price: INR3150.00 Up/downside: +21.8%	Downside risks: (1) Any slowdown in decorative paint demand weighing on volume growth; (2) a substantial rise in crude and TiO2 prices which may trigger fears of margin erosion, and (3) the COVID-19 outbreak impacting demand longer than expected.
	We use a DCF to derive our target price. We assume a cost of equity of 9.4%, with a risk-free rate of 2.5%, a market risk premium of 5.5% and inflation differential of 2.5%, all in line with our global strategists' cost of equity assumptions, and a company beta of 0.80 and terminal growth rate of 6.0% (all unchanged). Our TP of INR3,150 implies c22% upside, and we remain Buy on the stock as we believe decorative paints is an attractive segment where double-digit volume growth is possible over the next decade Amit Sachdeva* amit1sachdeva@hsbc.co.in +91 22 2268 1240	
Titan Company TTAN IN Buy	Current price: INR1402.90 Target price: INR1800.00 Up/downside: +28.3%	Downside risks: (1) A severe and prolonged macroeconomic slowdown that would lead to a fall in discretionary spending; (2) a sharp correction or high levels of volatility in the gold price; (3) a failure to achieve revenue guidance for jewellery and higher discounting weighing on margins; and (4) risk of a prolonged second COVID-19 wave hurting demand.
	We use a DCF model to derive our target price. We assume a cost of equity of 10.0% based on a risk-free rate of 2.5%, market risk premium of 5.5%, inflation differential of 2.5% – all in line with our global strategist team's latest cost of equity assumptions – and a company beta of 0.90 as well as a terminal growth rate of 6.2% (all unchanged). Our TP of INR1,800 implies upside of c28%. We maintain our Buy rating as we believe that Titan should be a key beneficiary of the shift in the jewellery market from unorganised to organised and that it has sufficient opportunity for market share gains. Indeed, we believe this is a long-term growth story. Amit Sachdeva* amit1sachdeva@hsbc.co.in +91 22 2268 1240	
Hindustan Unilever HUVR IN Buy	Current price: INR2407.65 Target price: INR3000.00 Up/downside: +24.6%	Downside risks: (1) A prolonged COVID-19 led disruption hurting overall demand environment, (2) a failure to drive demand in personal products amid increased competition from global players, and (3) loss of market share due to the increasing competitive intensity and changing consumer preferences.
	We use DCF to derive our target price. We assume a cost of equity of 8.7%, with a risk-free rate of 2.5%, a market risk premium of 5.5%, an inflation differential of 2.5% - all in line with our global strategists' cost of equity assumptions – and a company beta of 0.67 and terminal growth rate of 5.0%. Our TP of INR3,000 implies c25% upside over the current share price. We maintain our Buy rating as we consider HUL as one of the long-term structural winners in the fast-moving consumer goods sector driven by its focus on volume growth, premiumisation as well as the prospect of consistent margin expansion through aggressive cost management. Amit Sachdeva* amit1sachdeva@hsbc.co.in +91 22 2268 1240	

Valuation		Risks
IPCA Labs IPCA IN	Current price: INR2103.50	Downside risks: 1) A slowdown in India and other key branded markets like Russia and CIS; 2) lower-than expected pick-up of institutional sales for artesunate injection and A-L dispersible tablets; 3) slower-than expected growth in export generics sales and API sales; and 4) a continued delay in the resolution of pending FDA issues at the Ratlam, Piparia and Pithampur plants.
	Target price: INR2530.00 Up/downside: +20.3%	
Buy		
We derive our fair value TP of INR2,530 by discounting back the one-year forward fair value, which is based on 26x (Gordon growth-based PE – unchanged) our March 2023e EPS estimate of INR105.42. Our assumptions for the Gordon growth model are: a) a sustainable ROE of 23.8% (the average of our FY21-23e estimates; unchanged); b) a long-term growth rate of 5.5% (unchanged); and c) a COE of 8.4% (unchanged). Our unchanged inputs for the COE are: a RfR of 2.5%, an ERP of 5.5% for India, a beta of 0.62, and an inflation differential of 2.5% for India. Our rounded-off valuation multiple remains unchanged at 26x. Our target price implies upside of c20% from the current share price; we retain our Buy rating as we believe the company remains a strong operating leverage opportunity.		
Damayanti Kerai* damayantikerai@hsbc.co.in + 91 22 6164 0692		
Cipla CIPLA IN	Current price: INR878.45	Downside risks: 1) A delay in the resolution of pending cGMP issues at its Goa plant, which can derail its base US sales growth; 2) a delay in key launches and poor execution in the US; 3) a slowdown in growth for Indian formulations; and 4) higher-than expected R&D, which can slow down the pace of operating margin improvements
	Target price: INR1055.00 Up/downside: +20.1%	
Buy		
We value its base business by discounting the one-year forward fair value, which is based on 26x (Gordon growth-derived PE – unchanged) our March 2023e EPS of INR41.72 (unchanged). We add unchanged NPV/share values of INR25 for the inhalers pipeline, INR7 per share for IV tramadol and INR25 per share for gRevlimid to the base business value to arrive at our fair value target price of INR1,055 (unchanged). Our Gordon growth assumptions are unchanged at: a) a sustainable ROE of 15.6% (the average of our FY21-23e estimate; b) a long-term growth rate of 6.5% (unchanged); and c) a COE of 8.7% (based on a RfR of 2.5%, an EPR of 5.5% for India, a beta of 0.68 and a 2.5% inflation differential for India – all unchanged). Our target price implies upside of c20% from the current share price; we reiterate our Buy on its impressive execution of US launches & focus on cost efficiencies		
Damayanti Kerai* damayantikerai@hsbc.co.in + 91 22 6164 0692		
Prestige Estates PEPL IN	Current price: INR267.25	Downside risks: 1) large price cuts by the developer; 2) increased vacancies for its commercial office space; and 3) an increase in debt to meet construction capex.
	Target price: INR380.00 Up/downside: +42.2%	
Buy		
Our valuation is based on a DCF model of project cash flows. We assume a WACC of 10.5% based on a risk-free rate of 5%, including a country inflation premium of 2.5%; equity risk premium of 5.5%, in line with our global strategy team's forecasts; and a beta of 1.6. We calculate the 12-month forward fair value by applying a discount of 26% at 1 standard deviation above mean to our NAV estimate of INR582 for Mar'22. We then discount the value one year back to reflect the current fair value, setting our target price at INR380. Our TP implies c42% upside. We rate the stock Buy.		
Puneet Gulati* puneetgulati@hsbc.co.in +91 22 2268 1235		
Marico MRCO IN	Current price: INR460.75	Downside risks: (1) sharp volatility in copra prices; (2) failure to sustain the volume growth trajectory of Saffola edible oils; (3) geopolitical risks or competition impacting the performance of international operations; and (4) longer than expected COVID-19 wave hurting supply chain operations.
	Target price: INR510.00 Up/downside: +10.7%	
Buy		
We use DCF to derive our target price. We assume a cost of equity of 10.0%, with a risk-free rate of 2.5%, a market risk premium of 5.5%, inflation differential of 2.5% - all in line with our global strategists' cost of equity assumptions - and company beta of 0.90 and a terminal growth rate of 5.5% (all unchanged). Our TP of INR510 implies an upside of c11% from the current share price. We stay Buy as we think the stock appears attractively priced and any volume surprise could be a near-term stock catalyst.		
Amit Sachdeva* amit1sachdeva@hsbc.co.in +91 22 2268 1240		

	Valuation	Risks
Bharti Airtel BHARTI IN Buy	Current price: INR552.45 Target price: INR700.00 Up/downside: +26.7% Our fair value TP for Bharti Airtel is derived from a DCF-based SOTP valuation methodology. Our SOTP-based TP is INR700 (unchanged). The components and inputs of our SOTP are explained below. 1) Core business (India + South Asia): We value Bharti Airtel's India and South Asian operations using a DCF methodology. For our DCF valuation, we use: a) cost of equity of 9.4%, using a beta of 0.8 (unchanged); b) cost of debt of 8% (unchanged). This results in a WACC of 8.2% (unchanged); c) terminal growth of 3.5%. Our per share value for India and South Asia comes to INR680. 2) Airtel Africa – We value Airtel's Africa operations at INR24 per share (unchanged). We continue to use the market price as the benchmark to value Airtel Africa (AAF LN, CMP GBp79.40, Hold, covered by Sunil Rajgopal); however, we apply a 25% holding company discount (unchanged) to factor in parent-listco structure as well as to factor in market price volatility. 3) Tower operations: We factor in the value of Airtel's tower operations at INR53 per share using Indus Tower's current market price. The increase in value of tower operations offsets the decline in Core business value, thus our target price remains unchanged at INR700. At our TP, the implied valuation for Bharti's India and South Asia business would be 11.5x FY22e EV/EBITDA and 10.2x FY23e EV/EBITDA, respectively. Our target price implies c27% upside and we have a Buy rating. Piyush Choudhary* piyush.choudhary@hsbc.com.sg +65 6658 0607	Downside risks: 1) Higher-than-expected customer churn; 2) ARPU recovery stalls; 3) competitive intensity increases again, leading to lower ARPU; 4) higher than-expected spectrum and network investment, driven by competitive dynamics or 5G investments; 5) Jio becomes price competitive with its FTTH business, leading to an EBITDA decline in its home broadband and DTH businesses; 6) any deterioration in the performance of its Africa operations; and 7) value decline from its tower business subsidiary, especially if Vodafone Idea's tenancy exits are higher.

Priced at 4 May 2021

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Source: HSBC estimates

Disclosure appendix

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
ASIAN PAINTS	ASPN.BO	2567.65	05 May 2021	7
AXIS BANK LTD	AXBK.BO	717.20	05 May 2021	1, 5, 6, 7
BAJAJ AUTO	BAJA.BO	3843.80	05 May 2021	6, 7
BHARTI AIRTEL	BRTI.BO	559.95	05 May 2021	1, 5, 6, 7
CIPLA	CIPL.BO	888.65	05 May 2021	6, 7
HINDUSTAN UNILEVER LTD	HLL.BO	2394.65	05 May 2021	7
ICICI BANK	ICBK.BO	602.80	05 May 2021	5, 6, 7
INDIAN HOTELS	IHTL.BO	111.75	05 May 2021	7
IPCA LABORATORIES	IPCA.BO	2109.85	05 May 2021	6, 7
MARICO INDUSTRIES	MRCO.BO	455.30	05 May 2021	6, 7
PRESTIGE ESTATES PROJECTS LTD	PREG.BO	271.85	05 May 2021	6, 7
TITAN COMPANY LTD	TITN.BO	1428.40	05 May 2021	6

Source: HSBC

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